management control—seem to have been abandoned. Instead, the policy seems to be shifting to total stake sale without retaining management control.

Proposal to Privatize Non-Strategic PSUs in May 2020

In May 2020, Finance Minister Nirmala Sitharaman spoke about a new PSU privatization policy as part of her announcements under the Atmanirbhar stimulus package of Rs 21 lakh crore. She stated that the government would privatize public-sector enterprises in 'non-strategic sectors'. She further announced that a list of strategic sectors would be announced soon and that even in these sectors, only one to four public-sector enterprises would remain. The government did not follow up on the announcement for quite some time. In August 2020, there was speculation in the media that the government had identified eighteen sectors as strategic.

The debate about strategic and non-strategic sectors of the economy, in a certain sense, is phoney. In the heydays of policy preference for the socialistic pattern of society during the 1950s to 1980s, the industrial policy resolutions enforced by IDRA and licencing policies had identified several sectors as 'strategic'. As only the public sector was permitted to establish new enterprises in these large sectors of economy, investment and operational performance of the economy in these sectors suffered massively. These policies and laws, which produced the so-called low Hindu rate of growth and had an adverse impact on growth and development, have been gradually done away with after liberalization in 1991. From the vast list of several sectors identified as strategic in 1951, only two sectors remain currently classified as strategic under the industrial policies and laws of the country.

The CPSE survey classifies the CPSEs into four sectors and twenty cognate groups. The twenty groups are agro-based industries in the